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Report Highlights:

Marketing year (MY) 2022/23 palm kernel production is forecast at 62,000 metric tons (MT), down by about nine percent compared to Post's MY2021/22 projection. This is mainly because of an annual three-month drought period (December-February) that negatively affects FFB yield, and consequently kernel yield. MY2022/23 soybean production has been forecast at 230,000 MT by Post, up by four percent from the MY2021/22 estimate of 221,000 MT. MY2022/23 total domestic consumption demand for soybean is forecast at 184,000MT, up by six percent from the MY2021/22 estimate (173,000MT) mainly due to expected increased demand from food use domestic consumption, food manufacturing sector, and the aquaculture industries.

SECTION 1: OILSEEDS

1.1 Oilseed, Palm Kernel

Table 1: Production, Supply and Distribution

Oilseed, Palm Kernel	2020/2021		2021/2022		2022/2023	
Market Year Begins	Jan 2021		Jan 2022		Jan 2023	
Ghana	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	0	0	0	0	0	0
Area Harvested (1000 HA)	358	358	360	360	360	385
Trees (1000 TREES)	0	0	0	0	0	0
Beginning Stocks (1000 MT)	0	0	0	0	0	0
Production (1000 MT)	80	61	82	68	84	62
MY Imports (1000 MT)	0	0	0	0	0	0
MY Imp. from U.S. (1000 MT)	0	0	0	0	0	0
MY Imp. from EU (1000 MT)	0	0	0	0	0	0
Total Supply (1000 MT)	80	61	82	68	84	62
MY Exports (1000 MT)	0	0	0	0	0	0
MY Exp. to EU (1000 MT)	0	0	0	0	0	0
Crush (1000 MT)	80	61	82	68	84	62
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0	0
Total Dom. Cons. (1000 MT)	80	61	82	68	84	62
Ending Stocks (1000 MT)	0	0	0	0	0	0
Total Distribution (1000 MT)	80	61	82	68	84	62
CY Imports (1000 MT)	0	0	0	0	0	0
CY Imp. from U.S. (1000 MT)	0	0	0	0	0	0
CY Exports (1000 MT)	0	0	0	0	0	0
CY Exp. to U.S. (1000 MT)	0	0	0	0	0	0
Yield (MT/HA)	0.2235	0.1704	0.2278	0.1889	0.2333	0.161
(1000 HA) ,(1000 TREES) ,(1000 MT) ,(MT/HA)						

Production

Post forecasts area harvested at 385,000 hectares (HA), which represents an increase of about seven percent from USDA's official MY2021/22 estimate of 360,000 HA. The change is due to the expansion of area planted in June 2021 by the Government of Ghana policy targeting illegal gold miners and the residents of communities affected by illegal gold mining. This move was in response to recent rises in domestic prices of fresh fruit bunches (FFB) and kernels induced by the high global prices of Crude Palm Oil (CPO) and Crude Palm Kernel Oil (CPKO).

Marketing year (MY) 2022/23 palm kernel production is forecast at 62,000 metric tons (MT), down by about nine percent compared to Post's MY2021/22 projection. This is mainly because of an annual three-month drought period (December-February) that negatively affects FFB yield, and consequently kernel yield.

According to growers, yield declines are recorded every two years throughout the productive years of the oil palm trees in Ghana depending on the severity of the preceding two years' dry season. This notable occurrence of annual drought has resulted in observed oscillation in yields over the years.

Recent high fertilizer prices recorded globally and supply shortages due to the Russia-Ukraine war will also negatively impact production as usage of fertilizers has been limited, especially by smallholders who constitute about 80 percent of the domestic production capacity. Accordingly, Post has lowered the yield forecast for MY2022/23 to 0.161 MT/HA, down by nearly 15 percent compared to Post's current year's (MY2021/22) projection of 0.1899 MT/HA.

Consumption

Post forecasts MY2022/23 crush at 62,000 MT, a decrease of about nine percent compared to the preceding year's estimate. Post's forecast for MY2022/23 total domestic consumption is the same as the crush value.

Marketing

Industrial scale oil mills that do not process kernels sell the kernel nuts to others that process at industrial scale or to artisanal kernel processors. Artisanal palm oil producers are the main suppliers of kernel nuts to the artisanal kernel processors. Kernels are sold either in truck loads or in sacks depending on the quantity. A 100 kg sack of kernels sells for GH¢100 ($8.13) at an exchange rate of $1.00=GH12.30. The market shares of the industrial scale and the artisanal kernel processors are estimated at 30 percent and 70 percent respectively.

Trade

There has been no significant palm kernel trade in MY2021/22, and there was none in the preceding year (MY2020/21). Hence Post forecasts that this trend will continue in MY2022/23 resulting in no significant palm kernel trade.

Stocks

For each of the three marketing years under consideration, total domestic consumption completely matches the respective crush, leaving no ending stocks.

Policy

There is no specific policy that targets palm kernel but those policies that target oil palm development in general also impacts palm kernel supply and distribution.

1.2 Oilseed, Peanut

Table 2: Production, Supply and Distribution

Oilseed, Peanut	2020/2021		2021/2022		2022/2023	
Market Year Begins	Nov 2020		Nov 2021		Nov 2022	
Ghana	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	337	337	340	337	340	340
Area Harvested (1000 HA)	337	337	340	337	340	340
Beginning Stocks (1000 MT)	42	42	55	25	28	24
Production (1000 MT)	565	422	480	479	480	485
MY Imports (1000 MT)	4	4	4	0	4	0
MY Imp. from U.S. (1000 MT)	0	0	0	0	0	0
MY Imp. from EU (1000 MT)	0	0	0	0	0	0
Total Supply (1000 MT)	611	468	539	504	512	509
MY Exports (1000 MT)	1	0	1	0	1	0
MY Exp. to EU (1000 MT)	0	0	0	0	0	0
Crush (1000 MT)	0	65	0	72	0	60
Food Use Dom. Cons. (1000 MT)	455	340	465	378	465	400
Feed Waste Dom. Cons. (1000 MT)	100	38	45	30	35	35
Total Dom. Cons. (1000 MT)	555	443	510	480	500	495
Ending Stocks (1000 MT)	55	25	28	24	11	14
Total Distribution (1000 MT)	611	468	539	504	512	509
CY Imports (1000 MT)	4	4	4	0	4	0
CY Imp. from U.S. (1000 MT)	0	0	0	0	0	0
CY Exports (1000 MT)	1	0	1	0	1	0
CY Exp. to U.S. (1000 MT)	0	0	0	0	0	0
Yield (MT/HA)	1.6766	1.2522	1.4118	1.4214	1.4118	1.4265
(1000 HA) ,(1000 MT) ,(MT/HA)						

Production

Ghana's peanut production in MY2022/23 has been forecast by Post at 485,000 MT, a marginal increase of one percent from the MY2021/22 estimate. This is because of high yielding varieties being used by new peanut farmers in the Oti Region of the country. Accordingly, yield in MY2022/23 is forecast slightly higher by Post compared to MY2021/22 estimate. Traditionally thought to be well suited only for the northern sector of the country, the Oti Region, located between the Northern and Volta regions and in the most eastern part of the country, bordering Togo, is now a recognized peanut producing region. The Oti Region boasts higher yields than yields recorded in the traditional peanut producing regions in the northern part of the country.

Post forecasts area harvested in MY2022/23 at 340,000 HA, a one percent increase over Post's MY2021/22 projection. The marginal expansion of area harvested is due to some new entrants who will switch from corn to peanut production due to the relatively higher cost of corn production. Faced with higher costs of fertilizers and realizing that peanuts do not require as much fertilization as corn, some farmers in regions of poor soil fertility will switch.

Consumption

Peanuts are consumed in Ghana mostly in the paste form as an important soup ingredient. In addition to the paste, food use consumption can be as whole roasted peanuts, whole boiled peanuts (usually unshelled), and peanut butter/spread. MY2022/23 total domestic consumption has been forecast by Post at 495,000 MT, an increase of three percent over Post's MY2021/22 projection of 480,000 MT. The change is mainly due to an increase in population and increase in demand for affordable source of protein. Food use domestic consumption would have been much higher but for the concerns of some urban dwellers regarding the issue of aflatoxin in peanuts. Nevertheless, Post anticipates a slight increase in the consumption of whole roasted peanuts, peanut paste/butter (mainly used as ingredient for soup and spread), peanut-based snacks and prepared foods like Weanimix (a blend of roasted corn and peanut served to weaned children) because these are considered nutritious and affordable in the face of the recent economic downturn.

Peanut oil is not very popular in the southern and most populous part of Ghana when compared to the northern part where peanut is processed by women into either peanut paste/butter or oil and meal. The meal is used to prepare various snacks and condiments.

Feed waste domestic consumption in MY2022/23 has been forecast at 35,000 MT by Post, up by about 17 percent from Post's MY2021/22 projection. Some livestock feed millers and farmers, especially of hogs, as well as some poultry and aquaculture farmers, now patronize peanut meal as a feed ingredient for their production due to recent high cost of soybeans and soybean meal. This is driving the expected increase in the feed waste consumption demand.

Marketing

Peanut is usually sold on the market in volumes of 50 kg and 100 kg sacks. Retail volumes of less than one kilogram are also common. The price averages GH¢1,500 per 100 kg (about $1,220/ton) at an exchange rate of $1.00=GH¢12.30.

Trade

No significant peanut trade is expected in MY2022/23 by Post so imports and exports are set to zero and remain unchanged compared to the MY2021/22 projection by Post.

Stocks

MY2022/23 ending stocks are forecast down from 24,000 MT (MY2021/22) to 14,000 MT due to the expected increase in consumption demand.

Policy

The recently launched (October 2022) national policy for aflatoxin control in food and feed, developed by the Council for Scientific and Industrial Research's (CSIR) Science and Technology Policy Research Institute (STEPRI), remains the only national policy with a bearing on the peanut industry. This policy seeks to ensure food safety for the populace and enhance the export potential of domestically produced peanuts.

1.3 Oilseed, Soybean

Table 3: Production, Supply and Distribution

Oilseed, Soybean (Local)	2020/2021		2021/2022		2022/2023	
Market Year Begins	May 2020		May 2021		May 2022	
Ghana	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	0	116	0	123	0	130
Area Harvested (1000 HA)	0	116	0	123	0	130
Beginning Stocks (1000 MT)	0	0	0	8	0	32
Production (1000 MT)	0	202	0	221	0	230
MY Imports (1000 MT)	0	4	0	7	0	4
MY Imp. from U.S. (1000 MT)	0	0	0	0	0	0
MY Imp. from EU (1000 MT)	0	0	0	0	0	0
Total Supply (1000 MT)	0	206	0	236	0	266
MY Exports (1000 MT)	0	40	0	31	0	30
MY Exp. to EU (1000 MT)	0	0	0	0	0	0
Crush (1000 MT)	0	135	0	145	0	150
Food Use Dom. Cons. (1000 MT)	0	13	0	18	0	25
Feed Waste Dom. Cons. (1000 MT)	0	10	0	10	0	9
Total Dom. Cons. (1000 MT)	0	158	0	173	0	184
Ending Stocks (1000 MT)	0	8	0	32	0	52
Total Distribution (1000 MT)	0	206	0	236	0	266
CY Imports (1000 MT)	0	0	0	0	0	0
CY Imp. from U.S. (1000 MT)	0	0	0	0	0	0
CY Exports (1000 MT)	0	0	0	0	0	0
CY Exp. to U.S. (1000 MT)	0	0	0	0	0	0
Yield (MT/HA)	0	1.7414	0	1.7967	0	1.7692
(1000 HA) ,(1000 MT) ,(MT/HA)						

Production

Soybean is a non-staple crop in Ghana and predominantly used as livestock feed. As such, soybean production (particularly commercial production) is relatively new in Ghana and is concentrated in the northern part of the country. In Ghana, soybean is mainly grown by smallholder farmers, and average farm size is less than one hectare. Owing to growth in demand, especially from the domestic food manufacturing, poultry, and aquaculture industries, as well as the export market, there has been sustained increases in production lately.
MY2022/23 soybean production has been forecast at 230,000 MT by Post, up by four percent from the MY2021/22 estimate of 221,000 MT. The increase will be in response to the growing domestic and export demands, which have forced prices up. Post forecasts area planted and harvested in MY2022/33 at 130,000HA, up by nearly six percent from the MY2021/22 estimate of 123,000 HA.

Industry players identify thirteen processing companies as large scale, with combined installed grain processing capacity of about 172,000 MT per year. However, actual production by these companies is about 72,000 MT per year, less than 50 percent of their installed capacity. There are micro (household), small, and medium-scale enterprises that also process soybeans, and have a combined installed production capacity of about 180,000 MT per year. However, the actual combined annual production of these processors is also less than 50 percent of their total installed capacity.

Consumption

MY2022/23 total domestic consumption demand for soybean is forecast at 184,000MT, up by six percent from the MY2021/22 estimate (173,000MT) mainly due to expected increased demand from food use domestic consumption, food manufacturing sector, and the aquaculture industries. This will more than offset the decrease in demand from the faltering poultry industry. Total food use domestic consumption is forecast at 25,000 MT in MY2022/23, up by 39 percent from the preceding year's estimate of 18,000 MT, mainly due to expected increase in demand for an affordable source of protein. Households, especially those that own soybean farms, and micro-enterprises that source locally, process soybean into various products like soymilk, soy flour, soy kebab for human consumption. However, all 13 major soybean processors are operating under-capacity due to insufficient grain supply, as domestically produced grain constitutes less than 60% of the total local processing capacity.

Marketing

Soybean grains are usually sold in sacks of 50 kg and 100 kg. In September 2022, the price of locally produced soybean averaged GH¢5,028/ton ($408.78/ton at an exchange rate of $1.00=GH¢12.30). The current demand for domestically produced soybean far exceeds the supply.

Trade

Post forecasts MY2022/23 soybean imports at 4,000MT, a 43 percent slide compared with the MY2021/22 estimate of 7,000MT. The unfavorable tariff arrangement at the ports pertaining to soybean import duty is mainly responsible for the decrease in imports. Soybean imports attract a 10 percent duty on the Cost, Insurance, and Freight value of the shipment.

Post forecasts MY2022/23 soybean exports at 30,000MT, a decrease of three percent from the MY2021/22 estimate. Sustained exports of locally produced soybean to niche markets in Turkey and China that prefer non-GE soybeans has been observed since 2018. The reduction will be due to the growing increase in domestic demand and the GOG's imposed restriction on exports that is yet to be lifted. Industry analysts acknowledge that increased exports of soybean from Ghana is greatly affecting local supply. It is reported that some Indian aggregators who used to buy cashew nuts for export have switched to soybean exports. Some Chinese and Turkish nationals are also reported to be involved in this business of exporting locally produced soybean. To be assured of sustained supply to meet the growing demand from the Turkish market, an export company has arranged with a nucleus farmer in Tamale to rally several soybean farmers to guarantee supply over an agreed period of years.

The top five destinations for Ghanaian produced soybean exports in 2021 were India, Turkey, Singapore, Vietnam, and China in descending order. There are also cross-border regional buyers of soybean from Ghana. These buyers are from Togo and Burkina Faso. Complaints by the major industry players (poultry farmers and processors) resulted in the GOG announcing a six-month temporary restriction of soybean exports.

Stocks

Post forecasts Ghana's MY2022/23 soybean ending stocks in GE at 52,000 MT, up by 63 percent from the MY20221/22 estimate of 32,000 MT, as industry players are expected to build stocks.

Policy

With the introduction of the GOG's Planting for Food and Jobs (PFJ) program in 2017 yields began rising to 1.7 and 1.8 MT/HA. This remains below what the Ministry of Food and Agriculture (MOFA) believes are achievable yields of 3.0 MT/HA given the needed attention. In addition to corn, rice, sorghum, and vegetables increasing soybean production is an objective of the PFJ program. Under the PFJ, the GOG provides seed and fertilizer subsidy to smallholder farmers of the five target crops. This has resulted in sustained increases in yields and production of soybean since 2017.

Nevertheless, the increase in production does not satisfy the domestic demand because aggregators find the export market more attractive. In response to this development, the GOG announced a temporary ban on the exports of grains including soybean in September 2021 in a bid to ensure that domestic demand, especially by the poultry industry, could be met. The ban was expected to end on March 31, 2022, but got extended by another six-month period, which in principle expired September 30, 2022. Though an extension has not been announced by the GOG, sources indicate that the GOG intends to use export permits to restrict soybean exports.

Another GOG policy that impacts soybean trade is the requirement of 10 percent Cost, Insurance, and Freight (CIF) of shipment as import duty. Curiously, soybean meal (SBM) shipments do not attract this 10 percent import duty.

SECTION 2: MEALS

2.1 Meal, Palm Kernel

Table 4: Production, Supply and Distribution

Meal, Palm Kernel	2020/2021		2021/2022		2022/2023	
Market Year Begins	Jan 2021		Jan 2022		Jan 2023	
Ghana	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	80	61	82	68	84	62
Extr. Rate, 999.9999 (PERCENT)	0.5375	0.541	0.5366	0.5294	0.5357	0.5323
Beginning Stocks (1000 MT)	4	4	5	0	5	0
Production (1000 MT)	43	33	44	36	45	33
MY Imports (1000 MT)	0	0	0	0	0	0
MY Imp. from U.S. (1000 MT)	0	0	0	0	0	0
MY Imp. from EU (1000 MT)	0	0	0	0	0	0
Total Supply (1000 MT)	47	37	49	36	50	33
MY Exports (1000 MT)	4	0	5	0	5	0
MY Exp. to EU (1000 MT)	0	0	0	0	0	0
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	38	37	39	36	40	33
Total Dom. Cons. (1000 MT)	38	37	39	36	40	33
Ending Stocks (1000 MT)	5	0	5	0	5	0
Total Distribution (1000 MT)	47	37	49	36	50	33
(1000 MT) ,(PERCENT)						

Production

MY2022/23 palm kernel meal production has been forecast at 33,000 MT by Post, down by eight percent from Post's MY2021/22 estimate. The decrease is in line with the expected decline in yield of fresh fruits as induced by the three-month drought of the preceding two years.

Consumption

Total domestic consumption of palm kernel meal in MY2022/23 is forecast at 33,000 MT, which matches the total supply for the period, and represents an eight percent decrease compared to the MY2021/22 total domestic consumption estimate. This reduction corresponds to the observed collapse of a significant number of poultry farms due to higher production costs. Feed waste consumption constitutes total domestic palm kernel meal consumption.

Though considered a source of feed ingredient by domestic producers of poultry, hogs, and fish, palm kernel meal is reported by some poultry farmers as only being most suitable as a feed ingredient for broiler production. These contend that laying is markedly impaired when palm kernel meal is fed to layers.

Marketing

Palm kernel meal, popularly referred to as palm kernel cake is usually sold in tons, at the price of GH¢900/ton ($73.17/ton) at an exchange rate of $1.00=GH¢12.30.

Trade

Post does not foresee any significant palm kernel meal trade over the years under consideration.

Stocks

MY2022/23 forecast, and MY2021/22 estimates of palm kernel meal are all set to zero by Post simply because the product has ready market, and supply is completely matched by demand.

Policy

There is no specific policy targeting palm kernel meal but those policies that target oil palm development in general also impact palm kernel meal supply and distribution.

2.2 Meal, Soybean

Table 5: Production, Supply and Distribution

Meal, Soybean (Local)	2020/2021		2021/2022		2022/2023	
Market Year Begins	May 2020		May 2021		May 2022	
Ghana	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	0	135	0	145	0	150
Extr. Rate, 999.9999 (PERCENT)	0	0.7852	0	0.7862	0	0.7867
Beginning Stocks (1000 MT)	0	0	0	15	0	6
Production (1000 MT)	0	106	0	114	0	118
MY Imports (1000 MT)	0	100	0	65	0	100
MY Imp. from U.S. (1000 MT)	0	0	0	0	0	0
MY Imp. from EU (1000 MT)	0	0	0	0	0	0
Total Supply (1000 MT)	0	206	0	194	0	224
MY Exports (1000 MT)	0	6	0	2	0	5
MY Exp. to EU (1000 MT)	0	0	0	0	0	0
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	0	85	0	90	0	94
Feed Waste Dom. Cons. (1000 MT)	0	100	0	96	0	90
Total Dom. Cons. (1000 MT)	0	185	0	186	0	184
Ending Stocks (1000 MT)	0	15	0	6	0	35
Total Distribution (1000 MT)	0	206	0	194	0	224
(1000 MT) ,(PERCENT)						

Production

Post forecasts crush in MY2022/23 at 150,000 MT, a three percent increase over the preceding year’s estimate. MY2022/23 soybean meal production is forecast at 118,000 MT by Post, up by four percent from the MY2021/22 estimate of 114,000 MT. There continues to be insufficient supply of grain as the processors operate at less than 60 percent of the total installed capacity.

Consumption

Total domestic consumption has been forecast at 184,000 MT in MY2022/23, an indication of a marginal decrease of one percent from the MY2021/22 estimate. Expected increased demand from the aquaculture and food manufacturing industry will partially offset the significant decrease in demand from the floundering poultry industry.

Marketing

Soybean meal is sold in sacks of 50 kg and the current price is GH¢8,800/ton ($715.45/ton) at an exchange rate of $1.00=GH¢12.30.

Trade

Post forecasts MY2022/23 SBM import at 100,000 MT, a 54 percent jump over the preceding year's estimate. The increase is based on the expectation that the Ghanaian cedi will appreciate against the major trading currencies because of some economic recovery programs being pursued by the GOG. A strengthened cedi will make imports attractive, restoring imports to the MY2020/21 levels. Import of SBM averaged 95,000 MT from MY2017/18 to MY2020/21.

Soybean meal (SBM) is exported to India and some neighboring West African countries including Burkina Faso, Mali, Senegal, and Togo. Post forecast Ghana's MY2022/23 SBM export at 5,000 MT, a 150 percent increase compared to the preceding year's estimate of 2,000 MT. The increase will be in response to the prevailing strong international prices.

Policy

In principle, SBM import attracts an import duty of 10 percent CIF value of shipment but in practice, this requirement is waived by the GOG. Most industry players therefore prefer to import SBM instead of soybean.

SECTION 3: OILS

3.1 Oil, Palm

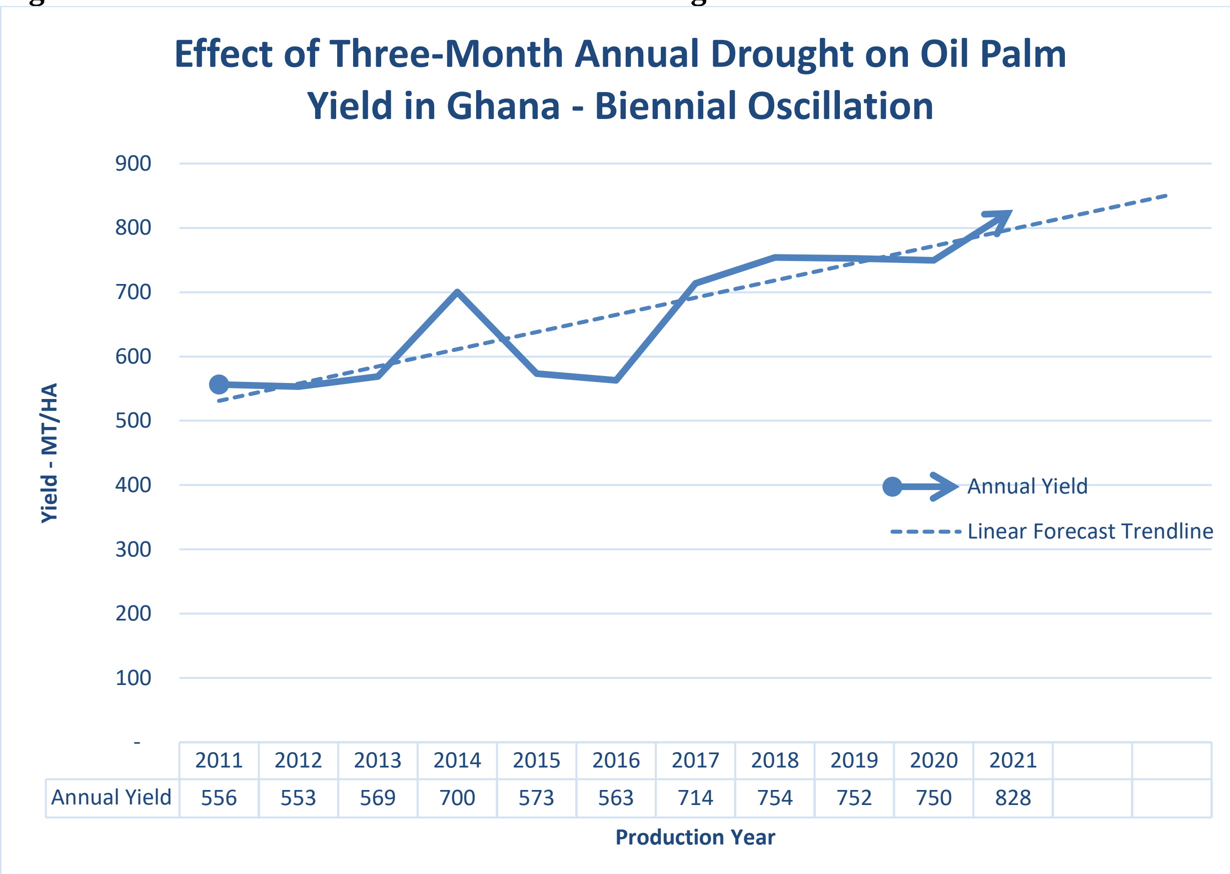
Table 6: Production, Supply and Distribution

Oil, Palm	2020/2021		2021/2022		2022/2023	
Market Year Begins	Jan 2021		Jan 2022		Jan 2023	
Ghana	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	0	0	0	0	0	0
Area Harvested (1000 HA)	358	358	360	360	360	385
Trees (1000 TREES)	0	0	0	0	0	0
Beginning Stocks (1000 MT)	142	142	86	138	98	118
Production (1000 MT)	268	296	297	330	300	300
MY Imports (1000 MT)	221	390	275	260	300	400
MY Imp. from U.S. (1000 MT)	0	0	0	0	0	0
MY Imp. from EU (1000 MT)	0	0	0	0	0	0
Total Supply (1000 MT)	631	828	658	728	698	818
MY Exports (1000 MT)	105	200	110	110	110	180
MY Exp. to EU (1000 MT)	0	0	0	0	0	0
Industrial Dom. Cons. (1000 MT)	0	60	0	60	0	60
Food Use Dom. Cons. (1000 MT)	440	430	450	440	460	450
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0	0
Total Dom. Cons. (1000 MT)	440	490	450	500	460	510
Ending Stocks (1000 MT)	86	138	98	118	128	128
Total Distribution (1000 MT)	631	828	658	728	698	818
CY Imports (1000 MT)	221	0	325	0	325	0
CY Imp. from U.S. (1000 MT)	0	0	0	0	0	0
CY Exports (1000 MT)	105	0	120	0	120	0
CY Exp. to U.S. (1000 MT)	0	0	0	0	0	0
Yield (MT/HA)	0.7486	0.8268	0.825	0.9167	0.8333	0.7792
(1000 HA) ,(1000 TREES) ,(1000 MT) ,(MT/HA)						

Production

Harvesting of FFB is done every week, and processing is recommended immediately to obtain a product with less free fatty acid content. Area harvested in MY2022/23 has been forecast by Post at 385,000 HA, an increase of about seven percent over Post's MY2021/22 estimate. The increase is due to the distribution of four million hybrid oil palm seedlings in June 2021 by the GOG under its Alternative Livelihood Development Projects (ALDPs) for illegal miners and residents of affected mining communities. With plant population of 160 stands per hectare, this translates into 25,000 HA. However, fruiting starts two years after planting so the first harvest is expected in 2023. Despite the expansion in area harvested, Post forecasts MY2022/23 palm oil production at 300,000 MT, down by nine percent from the estimate for MY2021/22. The decrease is due to expected low yields of fruits mainly because of the combined effect of inadequate fertilization and the expected decline in yield every two years resulting from the dry season (annual three-month drought) of the preceding two years. High global fertilizer prices will limit the capability of growers, especially individual smallholders to adhere to recommended fertilizer application. In addition to the annual three-month drought (dry season) that occurs in southern Ghana between December and February, there was a dry spell in April and May of 2021, which is expected to also contribute to the yield decline.

Figure 1: Effect of Three-Month Annual Drought on FFB Production



Source: Field Data, 2022

Consumption

Post forecasts MY2022/23 total domestic consumption at 510,000 MT, up by two percent from Post's MY2021/22 estimate. Reduced palm oil consumption by health-conscious consumers will partially offset the expected increased consumption due to population growth. Palm oil is an important ingredient in food processing and a preferred cooking oil in Ghana. Industrial domestic consumption in MY2022/23 is forecast at 60,000 MT by Post, leaving the MY2021/22 estimate unchanged. Industrial domestic consumption includes using palm oil as an ingredient for soaps, detergents, pharmaceuticals, and cosmetics. The operational capacities of the industrial actors remain the same.

Marketing

Sales of refined palm oil from the artisanal oil mills is largely limited to the domestic market. The product is sold in different containers. Retail volumes range from less than a liter to five liters (5L). Wholesale sales by artisanal producers is usually in volumes of 25 and 250 liters. The current price per 25 liters is GH¢500 ($40.65/25L) at an exchange rate of $1.00=GH¢12.30. Products meant for food use in domestic consumption are sold in smaller volumes ranging from less than a liter to five liters. Industrial-scale oil mills supply their manufacturing factory customers in tanks of 2,500 liters and above. The majority of the oil mills that own oil palm plantations have affiliated manufacturing companies that use their own supplies. The product is produced to meet the benchmark for the international market and therefore attracts the international market price if sold to other manufacturing companies.

Trade

Imports of palm oil is forecast to jump from the MY2021/22 estimate of 260,000 MT to 400,000 MT in MY2022/23, an increase of 54 percent. This will help meet the growing domestic consumption demand and sustain exports. Compared with the MY2020/21 estimate, Post expects the current year's (MY2021/22) palm oil imports to be down by 29 percent. The rising price of palm oil on the global market, currently hovering around $2,500 F.O.B., coupled with the depreciation of the Ghanaian cedi in the current year is responsible for the low imports.

According to the Ghana Statistical Service, inflation for imported items was over 35 percent at the end of August 2022. However, with IMF intervention imminent, the cedi is expected to appreciate and make some gains against the major trading currencies, making palm oil imports less expensive in MY2022/23.

MY2022/23 exports are forecast at 180,000 MT, up by 64 percent over the MY2021/22 estimate. Exports in the current marketing year (MY2021/22) are projected at 110,000 MT, which represents a decrease of 45 percent from the preceding year's estimate. This reduction is due to the need to avert significant stock depletion amid unfavorable economic environment and the anticipated decline in MY2022/23 yields.

Stocks

Post forecasts MY2022/23 ending stocks at 128,000 MT, an eight percent increase over the MY2021/22 estimate. Though production is expected to dip in MY2022/23, increased imports will help to more than offset the growing consumption demand, leaving higher ending stocks. MY2021/22 ending stocks is estimated to be 14 percent lower than the MY2020/21 estimate. The prevailing unfavorable foreign exchange rates and the high palm oil price on the global market combine to preclude regular imports. Hence stocks deplete to meet demand.

Policy

The Government of Ghana (GOG) realizes the contribution of the oil palm industry to the national economy and has announced an effort towards supporting the oil palm value chain to become financially viable. In furtherance of this goal, the GOG inaugurated a Tree Crop Development Authority (TCDA) in September 2020. The mandate of the TCDA is to regulate and create a conducive environment for the growth and development of tree and industrial crops in Ghana with consequential benefits to the economy of the country. The TCDA, established by an act of parliament, is mandated to regulate and develop in a sustainable environment the production, processing, and trading of six tree crops including cashew, shea, mango, coconut, rubber, and oil palm.

The TCDA is the main mechanism of Planting for Export and Rural Development (PERD) and will lead the agenda for the diversification of Ghana's agriculture by developing the tree crop sector. The Authority will operate like the Ghana Cocoa Board (COCOBOD), putting in place policies and programs to guide research, production, pricing, and marketing of the six pioneer tree crops. The overarching goal is to help Ghana increase agricultural export earnings exponentially. However, two years after inauguration, it still seems like early days for the TCDA, and it remains to be seen what impact it will have on the oil palm industry.

In October 2021, President Akufo-Addo launched the National Alternative Employment and Livelihood Programme (NAELP), a program designed to help alleviate the hardships of those affected by the GOG’s efforts to sanitize the small-scale mining industry. NAELP is intended to provide good economic livelihood options to illegal mining and its associated activities, and to enable those adversely impacted by the GOG’s effort to fight illegal mining, and the opportunity to work and support themselves and their families. The policy will also focus on reversing the negative impact of illegal mining on the environment through its National Land Reclamation and Reafforestation component.

Five months ahead of the launch of the NAELP, the GOG, acting through the Ministry of Lands and Natural Resources, under the Mining Community Development Scheme of the Minerals Development Fund initiated the Alternative Livelihood Projects (ALPs) and distributed four million hybrid oil palm seedlings to some youth who are being redirected from engaging in illegal mining, popularly known as “Galamsey” (corrupted form for gather-them-and-sell), as alternative livelihood project. This program if sustained will result in expansion of area under oil palm cultivation in the years ahead.

3.2 Oil, Palm Kernel

Table 7: Production, Supply and Distribution

Oil, Palm Kernel	2020/2021		2021/2022		2022/2023	
Market Year Begins	Jan 2021		Jan 2022		Jan 2023	
Ghana	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	80	61	82	68	84	62
Extr. Rate, 999.9999 (PERCENT)	0.4375	0.4426	0.439	0.4412	0.4405	0.4355
Beginning Stocks (1000 MT)	0	0	0	1	0	4
Production (1000 MT)	35	27	36	30	37	27
MY Imports (1000 MT)	2	2	2	2	2	2
MY Imp. from U.S. (1000 MT)	0	0	0	0	0	0
MY Imp. from EU (1000 MT)	0	0	0	0	0	0
Total Supply (1000 MT)	37	29	38	33	39	33
MY Exports (1000 MT)	1	6	2	4	2	6
MY Exp. to EU (1000 MT)	0	0	0	0	0	0
Industrial Dom. Cons. (1000 MT)	0	14	0	14	0	14
Food Use Dom. Cons. (1000 MT)	36	8	36	11	37	9
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0	0
Total Dom. Cons. (1000 MT)	36	22	36	25	37	23
Ending Stocks (1000 MT)	0	1	0	4	0	4
Total Distribution (1000 MT)	37	29	38	33	39	33
(1000 MT) ,(PERCENT)						

Production

Post forecasts MY2022/23 crush down by about nine percent from the MY2021/22 estimate of 68,000 MT. consequently, MY2022/23 palm kernel oil production has been forecast by Post at 27,000 MT, marginally down by one percent from the MY2021/22 estimate, mainly due to the reduced supply of kernels, a consequence of observed cyclical effects of an annual three-month dry season (December–February) on FFB production in every two years. Yield is significantly affected depending on the intensity of this period of drought. In addition to this normality, occasional dry spells may occur, and have been observed to induce a similar effect on FFB yield.

Southern Ghana, where oil palm thrives, has two rainy seasons in a year; major (March–July) and minor (September–November) rainy seasons. Ghana experienced some dry spells in between April and May of 2021 and the effect of this occurrence on FFB yield is anticipated to be observed in MY2022/23 production.

Consumption

Like several countries the world over, the GOG’s attempt at reviving the country’s economy from the reeling effect of the COVID-19 pandemic has been dealt a devastating blow by the global impact of the Russia-Ukraine war. The local currency is sliding, and food inflation approached 33 percent at the end of August 2022, hitting a 21-year high.

A high percentage of the palm kernel oil produced in Ghana is utilized by industrial manufacturers of luxury soaps as well as by artisanal soap manufacturers. Industrial domestic consumption in MY2022/23 has been retained at the same level (14,000 MT) as in the preceding years. This is mainly because industrial and artisanal manufacturing capacities and supplies remain fairly the same. MY2022/23 food use domestic consumption of palm kernel oil has been forecast at 9,000 MT by Post, down by 18 percent from MY2021/22 estimate. This is because traditionally palm kernel oil is not a popular cooking oil among urban Ghanaians. Post's estimated 38 percent increase in MY2021/22 food use domestic consumption over the preceding year's estimate is because the recent economic hardship encountered has compelled some urban dwellers to substitute artisanal palm kernel oil for the other preferred but more expensive cooking oils. A notable observation is the change in preference of cooking oil for commercial deep frying of fish. Most fish processors now choose palm kernel oil mainly because of its pricing advantage. Hitherto, these processors preferred using refined bleached deodorized palm oil. MY2022/23 total domestic consumption has been forecast at 23,000 MT, a decrease of eight percent from the MY2021/22 estimate.

Marketing

Refined palm kernel oil from the artisanal oil mills is sold in different containers on the Ghanaian market. Artisanal soap manufacturers purchase the product in volumes of 25 and 250 liters from the artisanal producers. The current price per 25 liters is GH¢350 ($28.46/25L) at an exchange rate of $1.00=GH¢12.30. Products meant for food use in domestic consumption are sold in smaller volumes ranging from less than one liter to five liters. Like palm oil, industrial-scale oil mills supply their manufacturing factory customers in tanks of 2,500 liters and above. The majority of oil mills that own oil palm plantations have affiliated manufacturing companies that take their supplies. The product is produced to meet the benchmark for the international market and therefore attracts the international market price if sold to other manufacturing companies.

Trade

Post forecasts MY2022/23 palm kernel oil exports at 6,000 MT, up by 50 percent from the MY2021/22 estimate. Only palm kernel oil produced by the industrial-scale oil mill companies is traded, and currently a ton of the product is offered at $2,350 (F.O.B.). Unlike the product from the artisanal processors, these are produced to meet international market standards. MY2022/23 imports are forecast at 2,000 MT, remaining unchanged compared to the MY2021/22 estimate. The manufacturing capacity of the manufacturing companies that utilize this as raw material has not changed significantly since MY2021/22.

Stocks

Post forecasts MY2022/23 ending stocks at 4,000 MT, unchanged from the preceding year's estimate.

Policy

Like palm kernel meal, there is no specific policy targeting palm kernel oil but those policies that target oil palm development in general also impact palm kernel oil supply and distribution.

3.3 Oil, Soybean

Table 8: Production, Supply and Distribution

Oil, Soybean (Local)	2020/2021		2021/2022		2022/2023	
Market Year Begins	May 2020		May 2021		May 2022	
Ghana	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	0	135	0	145	0	150
Extr. Rate, 999.9999 (PERCENT)	0	0.1926	0	0.1931	0	0.1933
Beginning Stocks (1000 MT)	0	0	0	3	0	4
Production (1000 MT)	0	26	0	28	0	29
MY Imports (1000 MT)	0	7	0	4	0	4
MY Imp. from U.S. (1000 MT)	0	0	0	0	0	0
MY Imp. from EU (1000 MT)	0	0	0	0	0	0
Total Supply (1000 MT)	0	33	0	35	0	37
MY Exports (1000 MT)	0	0	0	0	0	0
MY Exp. to EU (1000 MT)	0	0	0	0	0	0
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	0	30	0	31	0	32
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0	0
Total Dom. Cons. (1000 MT)	0	30	0	31	0	32
Ending Stocks (1000 MT)	0	3	0	4	0	5
Total Distribution (1000 MT)	0	33	0	35	0	37
(1000 MT) ,(PERCENT)						

Production

Post Accra forecasts soybean oil production at 29,000 MT in MY2022/23, up by four percent compared to the MY2021/22 estimate. This increase is mainly due to the increase in domestic soybean production and consequently crush.

Consumption

Total domestic consumption is forecast at 32,000 MT, an increase of three percent over the MY2021/22 estimate by Post. The expected increase is due to increase in the population, as food use consumption represents the entire domestic consumption.

Marketing

Soybean oil is sold in containers of 25 liters, five liters, and one liter on the Ghanaian market. Smaller volumes of less than one liter are also available for sale. The price per 25 liters is GH¢380 ($30.89) at an exchange rate of $1.00=GH¢12.30.

Trade

Post forecasts MY2022/23 soybean oil import at 4,000 MT, same as the preceding year's estimate. Sustained demand for imported soybean oil despite the availability of relatively competitive substitutes is the reason for the unchanged import volume. Like previous years, Post does not foresee any significant soybean oil export in MY2022/23.

Stocks

Post Accra forecasts soybean oil ending stocks at 5,000 MT, an increase of 25 percent over the MY2021/22 estimate, as industry players continue to build stocks.

Policy

There is no specific policy targeting soybean oil but the policies that affect soybean production and import certainly have bearing on total soybean oil supply in the country.

End of report.

Attachments:

No Attachments.